DRAFT — for board discussion; not binding; subject to Counsel

Term Sheet: Reverse Takeover (RTO) Advisory Engagement, Exos / FNEX

For the Exos Board of Directors and the SSLC (Scorpius) Board · Meetings of October 6, 2026

Sources: FNEX 9/29 markup of the Advisory Agreement; Exos letters of 10/3 and 10/4; the John Quinn / Michael Sheldon call of 10/5; Exos markup of 10/5 (tracked changes); Exos v3 model (10/3). "Pending" items carry the Mission Control decision IDs (John / Michael). Items marked [TBC] are unconfirmed.

1. Parties and structure

Item	Term
Company	Exos Aerospace Systems & Technologies, Inc. (Texas), Greenville, TX
Advisor	FNEX Capital, LLC (Indiana), FINRA-registered broker-dealer. Registered representative: Raquel Sheldon Bruce [legal name TBC]. Michael Sheldon (salaried advisor) and Graham Bruce (Ainigma Capital) lead the work.
Transaction	Reverse takeover / reverse triangular merger of Exos into a Nasdaq-listed shell (the "Target"). Target not yet named [TBC]; naming it before the definitive agreement is pending (D-7281923 / D-7281924).
Merger Enterprise Value (MEV)	~$350M: shares issued to Exos holders x the merger price. FNEX's model uses $2.00 (175M shares); at $3.00 it would be ~116.7M shares for the same $350M. Michael on the call: the per-share price "is not going to value your business"; it is share-count math.
PIPE	~$15M convertible note before or at Closing, at least $10M net to Exos; converts to common stock at the merger price (no standing discount); any warrants or incentives are limited by the value floor in "PIPE pricing mechanics" (D-7281938). Later capital through an ATM or S-3 follow-on (Michael). Terms of the note are pending (D-7281913 / D-7281914).
Engagement	Exclusive for the Transaction; flat 6-month term, no auto-renewal; Texas law.

2. Fees and costs

Component	Basis	At $350M MEV
Cash fee, first half	0.5% of MEV, at Closing, from initial funds	$1,750,000
Cash fee, second half	0.5% of MEV, only if FNEX-placed financings after Closing reach $40M within 12 months (excl. the PIPE and capital Exos raises itself) [definition TBC]	$1,750,000 (contingent)
Stock fee ("Awarded Shares")	2% of MEV in Target shares at the merger price, no discount (accepted in FNEX's 9/29 markup)	$7,000,000 = 3.5M shares at $2.00
Placement fee	None on the PIPE or any later placement (agreed 10/5)	$0
Third-party placement / ATM costs	Paid by Exos, pre-approved by Exos; FNEX earns nothing on them (Michael est. ~3%)	~$450,000 on $15M
FNEX expenses	Travel only, pre-approved, capped, paid at Closing	≤ $75,000
Retainer	None	$0

Maximum FNEX compensation on the RTO is 3% of MEV (1% cash + 2% stock), about $10.5M at $350M, of which only $1.75M is cash due at Closing.

3. Term status: Agreed or Pending

Term	Position in the Exos markup	Status
Fee base	MEV only; double count removed (Michael: "just a mistake, I'll fix that")	Agreed 10/5 (D-7281936 / D-7281937)
Placement fee	No FNEX fee on the PIPE or later placements; third-party costs (~3%) paid by Exos only if pre-approved	Agreed 10/5 (D-7281936 / D-7281937)
Expenses	Travel only, pre-approved, cap $75,000, payable at Closing	Agreed 10/5 (D-7281936 / D-7281937)
Indemnity / assigns	Indemnity capped (cap amount [TBC]; Exos proposes cash fees paid); "or its assigns" removed	Agreed 10/5 (D-7281936 / D-7281937)
Fee recipient	Fees paid only to the registered rep (Raquel Sheldon Bruce); Michael is salaried and receives no fee	Agreed 10/5 (D-7281936 / D-7281937)
Term, review, tail	Flat 6 months, no auto-renewal; renewal/retention review at month 3; 12-month tail on parties FNEX introduced (investors, strategic partners, acquirers); shared intent that FNEX stays involved ~2 years after Closing	Agreed 10/5 call
Milestones (Schedule A)	(a) ~$15M PIPE, ≥$10M net; (b) merger into the listed shell; (c) strategic partner/JV where possible; (d) supportable, growing valuation. PIPE not gated	Agreed 10/5 call; PIPE timing also on D-7281917 / D-7281918

	on (c)	
PIPE floor (principle)	No PIPE terms that undercut what current Exos investors paid (Michael: "I'll make sure that language is in there")	Agreed in principle 10/5
Stock fee at merger price; 0.5/0.5 cash split; $15M minimum raise; Texas law	As in FNEX's 9/29 markup	Accepted (FNEX 9/29)
Fee-share lock-up	Split 2%: 1% saleable after Closing under a leak-out (≤[10]% of daily volume, not below merger price); 1% vests over 18 months of continued engagement; early release at ≥2x merger price for 30 of 60 days	Pending D-7281925 / D-7281926
PIPE pricing mechanics	Converts at the merger price. Warrants or other incentives allowed only up to the point where the total effective price still implies a company value at or above what current Exos investors paid (last round $14.00/share ≈ $173M, to confirm with Eqvista). At $350M MEV that is a maximum total effective discount of about 50% ($173M ÷ $350M = 49.4% of the merger price; at $2.00/share, all-in effective price ≥ ~$0.99). The floor is a company value, so the permitted discount shrinks if MEV is lower.	John direction 10/5 (D-7281938); pending Michael (D-7281939)
Breakup fee	Accrues $60K/month only while FNEX meets Schedule A; if Exos walks for a competing deal, greater of accrued or 0.5% of that deal [half cash/half stock], capped at the RTO fee; none on non-performance	Pending D-7281940 / D-7281941
Strategic transactions	Change of control with an FNEX-introduced party = RTO fee formula, in place of (never in addition to) the RTO fee; JV/license/partnership: no fee. Strategic equity investor FNEX first introduces in writing during the Term (12-month named-investor tail): 2% cash if FNEX runs it to close, 1% if introduction only, capped at $400K per investor; paid to FNEX as broker-dealer, not an individual; no warrants or stock; no stacking with a bank/placement fee; inside the overall fee cap (total fees ≤ RTO Fees); existing Exos relationships excluded	John approved 10/5 (D-7281942); pending Michael (D-7281943); Counsel review
PIPE note	Escrow to Closing; converts at Closing at the merger price, not reset; never repayable in cash; unsecured; Outside Date 6 months	Pending D-7281913 / D-7281914 (Outside Date: D-7281915 / D-7281916)
$10M net at Closing	Closing condition only Exos can waive; cash fee deferred first if short	Pending D-7281917 / D-7281918
Fees only at Closing	No fee, stock or expenses unless the merger closes; not at signing or PIPE funding	Pending D-7281919 / D-7281920
Listing	Shell named before the definitive agreement; Nasdaq approval a Closing condition; merger price ≥ $[3.00] unless Exos agrees	Pending D-7281923 / D-7281924
7% incentive block	Delete the "New Post-Merger Incentive Shares" block unless FNEX explains it (Michael did not recognize it on the call)	Pending D-7281927 / D-7281928
Key person	Michael Sheldon and Graham Bruce; Exos may terminate with no breakup fee if either leaves	Pending D-7281931 / D-7281932
$40M trigger definition	FNEX-placed post-Closing financings ≥$40M within 12 months	[TBC] not discussed 10/5; no card
Early-float protections	Lock-ups for PIPE and shell insiders, shell diligence, no paid promotion or shorting, Rule 506(d) certification, clawback	[TBC] Exos 10/3 letter §8; no card

4. Economics at a $15M PIPE (estimate)

Line	Basis	Amount
PIPE gross proceeds	Convertible note	$15,000,000
Less: FNEX cash fee due at Closing	0.5% x $350M MEV (first half of the 1% cash fee)	($1,750,000)
Less: third-party placement / ATM cost	~3% x $15M (Michael's estimate; no FNEX fee)	($450,000)
Less: FNEX travel expenses	Cap, paid at Closing	($75,000)
Less: other transaction costs	Legal, audit, listing: v3 model, Additional Assumptions B28	($1,000,000)
Estimated net cash to Exos at Closing	**15.000 − 1.750 − 0.450 − 0.075 − 1.000**	**≈ $11,725,000**

Estimate only; not a commitment. Excludes the contingent second 0.5% cash fee ($1.75M, payable only if the $40M trigger is met, from later financings, not the PIPE) and the 2% stock fee (non-cash; 3.5M shares at $2.00). The note converts to stock and is not repaid in cash (pending D-7281913). Sensitivity: net falls to $10M at a PIPE of about $13.2M [(10 + 1.75 + 0.075 + 1.0) ÷ 0.97]; with the pending deferral of the cash fee when short (D-7281917), the break-even PIPE is about $11.4M. At $12M the net is about $8.8M before any deferral. Michael's view on the call: net "well above 11 million."

5. Exos protections in the markup

- **Fee discipline:** fees on MEV only; no placement fee; expenses capped at $75K; no retainer; fees only to the registered rep [fees only at Closing: pending D-7281919].

- **Capital certainty:** [$10M Net Closing Cash condition, waivable only by Exos]; [PIPE held in escrow, never repayable in cash, converts at the merger price] (pending D-7281917, D-7281913).
- **Valuation protection:** no PIPE terms below what current investors paid (agreed in principle); PIPE converts at the merger price; warrants/incentives only while the all-in price implies ≥ ~$173M company value ($14.00/share last round, to confirm with Eqvista), about a 50% maximum effective discount at $350M MEV (John 10/5, D-7281938); [merger price ≥ $[3.00]] (pending D-7281923).
- **Listing quality:** [shell named and listing standard confirmed before the definitive agreement; Nasdaq approval a Closing condition] (pending D-7281923); [early-float lock-ups, shell diligence, no paid promotion or shorting, 506(d) certification, clawback] [TBC].
- **Long-term alignment:** month-3 retention review and ~2-year post-Closing intent (agreed); [half the stock fee vests over 18 months of continued engagement] (pending D-7281925); [key persons Michael and Graham] (pending D-7281931).
- **Walk-away protection:** [breakup fee accrues only while FNEX performs; none on non-performance or execution problems; none on Exos's own raises] (pending D-7281940); [no double fee on a strategic sale] (John approved 10/5; pending Michael D-7281943); capped indemnity (agreed).

6. Next steps

- 10/5: Exos markup to Michael Sheldon (sent by John); Michael turns it around today.
- 10/5–10/6: John and Michael answer the open decision cards in Mission Control (IDs above).
- 10/6: Exos Board and SSLC (Scorpius) Board review this term sheet.
- Before the definitive agreement: FNEX names the shell and listing standard; FNEX explains or drops the 7% incentive block; Exos confirms the last-round price with Eqvista; PIPE note terms attached as Exhibit A; milestone dates set for Schedule A [TBC].
- Counsel reviews the agreement, including the 2% / 1% strategic-investment fee ($400K per-investor cap, inside the overall fee cap) and the indemnity cap, before signature.